

The most important driver of anything tied to money is the stories people tell themselves and the preferences they have for goods and services. Those things don't tend to sit still. They change with culture and generation. They're always changing and always will.

The mental trick we play on ourselves here is an over-admiration of people who have been there, done that, when it comes to money. Experiencing specific events does not necessarily qualify you to know what will happen next. In fact it rarely does, because experience leads to overconfidence more than forecasting ability.

Investor Michael Batnick once explained this well. Confronted with the argument that few investors are prepared for rising interest rates because they've never experienced them—the last big period of rising interest rates occurred almost 40 years ago—he argued that it didn't matter, because experiencing or even studying what happened in the past might not serve as any guide to what will happen when rates rise in the future:

So what? Will the current rate hike look like the last one, or the one before that? Will different asset classes behave similarly, the same, or the exact opposite?

On the one hand, people that have been investing through the events of 1987, 2000 and 2008 have experienced a lot of different markets. On the other hand, isn't it possible that this experience can lead to overconfidence? Failing to admit you're wrong? Anchoring to previous outcomes?

Two dangerous things happen when you rely too heavily on investment history as a guide to what's going to happen next.

1. You'll likely miss the outlier events that move the needle the most.

The most important events in historical data are the big outliers, the record-breaking events. They are what move the needle in the economy and the stock market. The Great Depression. World War II. The dot-com bubble. September 11th. The housing crash of the mid-2000s. A handful of outlier events play an enormous role because they influence so many unrelated events in their wake.